A WEALTH CREATOR MASTERCLASS

Real Estate: The Owner's Playbook

From first door to 1031 — how to buy it, fund it, run it, and keep more of what it makes.

Marvin Mitchell · **45 minutes**

BEFORE WE START

How to use this hour

1

This is education, not a recommendation

Nothing here is individualized investment, tax, or legal advice. Your CPA and attorney review anything you act on.

2

Every number is illustrative

Prices, rents, rates, and costs are rounded teaching numbers. Your market will be different — run your own.

3

Real estate is a business, not a hobby

It pays like a business, and it demands like one. We are going to talk about the work, not just the wins.

4

Take notes on the math

You will forget the stories. Write down the four metrics, the reserve percentages, and the 1031 clock.

THE WEALTH CREATOR LENS

Dead equity vs. deployed equity

Net worth is a scoreboard. Income produced is a paycheck. Real estate is one of the few assets that can do both at the same time — but only if the equity is working.

DEAD EQUITY

$0

- Primary residence equity
- Idle cash beyond your reserve
- Land you are 'holding'

DEPLOYED EQUITY

Monthly income

- Rented property producing NOI
- Debt someone else is paying down
- Depreciation shielding other income

The question is not "what am I worth?" — it is "what does what I own produce?"

Every asset you hold is either working, or it is waiting. Waiting is a decision.

THE CASE

Five ways one property pays you

1

Cash flow

What is left after the mortgage, taxes, insurance, management, and reserves. The paycheck.

2

Appreciation

Market lift over time, plus forced appreciation you create by raising NOI.

3

Loan paydown

Your tenant retires your debt. Every payment moves equity from the bank to you.

4

Tax treatment

Depreciation, deductions, and deferral. Often the largest line in year one.

5

Inflation hedge

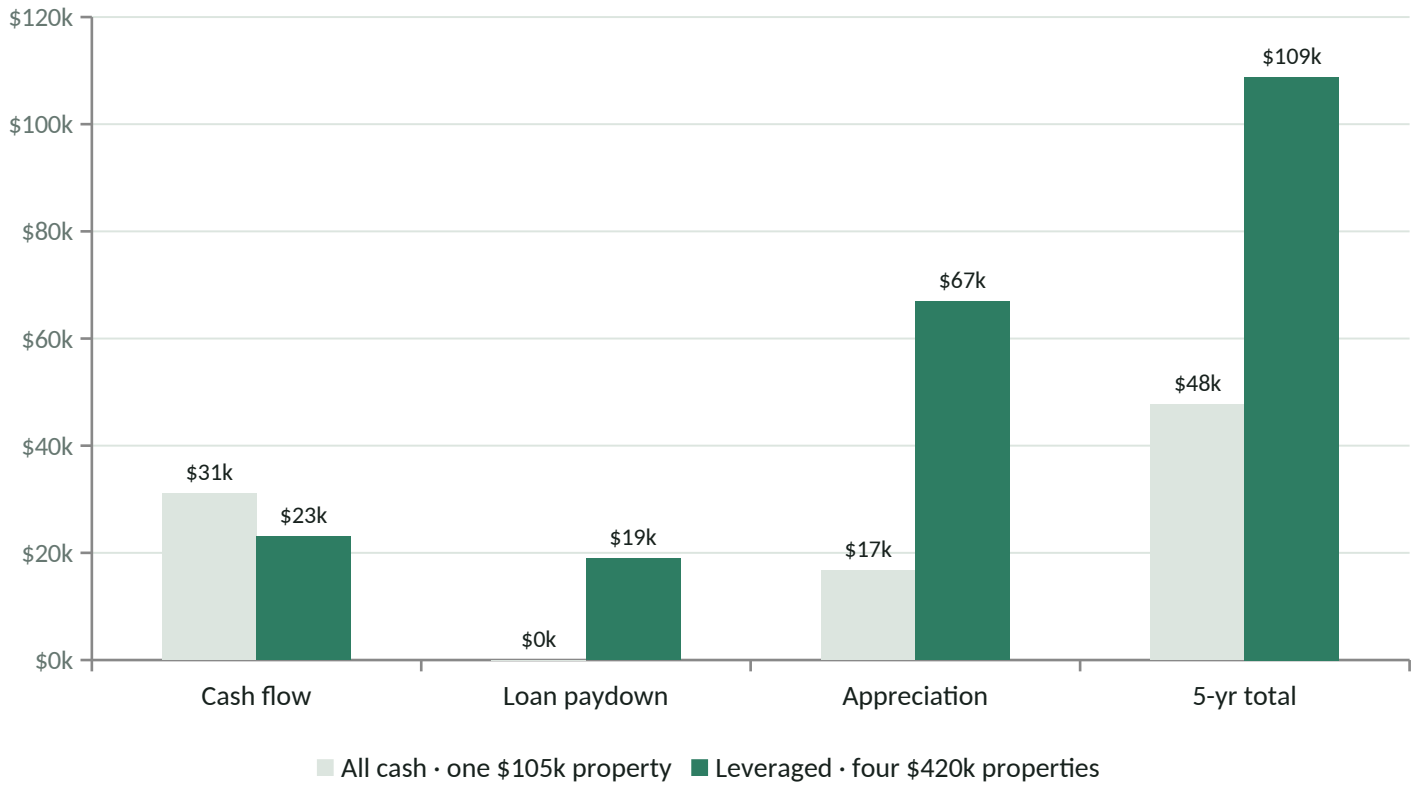
Rents reset up. Your fixed-rate payment does not. Inflation quietly works for you.

Stack all five and a 4% cash-on-cash deal can be a 15-18% total-return deal. Judge the stack, not one line.

THE CASE

Why leverage is the multiplier

Illustrative: $105,000 deployed two ways over five years, 3% annual appreciation, same market.



Leverage cuts both ways

A 10% value drop on $420,000 of property is a 40% hit to a $105,000 down payment. Same math, opposite direction.

So reserves are the price of entry

Six months of debt service per property. Without it, leverage turns a bad quarter into a forced sale.

Debt must be serviced by the asset

If the property cannot pay the note without you, it is not an investment. It is a second job with interest.

ROADMAP

Where we are going — 45 minutes

1 **The Types** — 5 min

Every door you can own — active, passive, and the ones in between.

2 **The Money** — 7 min

How deals actually get funded when you do not have all the cash.

3 **The Deal** — 9 min

Market screens, the math ladder, four metrics, and real due diligence.

4 **The Reality** — 6 min

CapEx, maintenance, management, and tenant turnover.

5 **The Tax Game** — 6 min

Depreciation, cost segregation, passive losses, and the exit tax.

6 **The 1031** — 5 min

Deferral done right — and the mistakes that blow it up.

7 **The Guardrails** — 4 min

How people lose money, and how you avoid being one of them.

8 **Your Move** — 3 min

Your first 90 days and your written buy box.

01

The Types

Every door you can own

5 MINUTES

- Active ownership
- Commercial and niche
- Passive lanes
- Choosing your lane

THE TYPES

The ownership spectrum

Every real estate decision sits somewhere on one line: how much control you want versus how much of your time it takes.

Flips & BRRRR	Direct rentals	Syndications & funds	REITs & DSTs
FULL CONTROL	HIGH CONTROL	SHARED CONTROL	NO CONTROL
Highest work, highest upside, shortest patience required.	You own the asset, you hire the team, you sign the note.	You bring capital, an operator brings the deal and the work.	Liquid or packaged. You own an interest, not a decision.

MORE OF YOUR TIME — MORE OF SOMEONE ELSE'S

The most expensive mistake in this room is buying left-side real estate while living a right-side life. Match the asset to the hours you actually have — not the hours you wish you had.

THE TYPES

Active ownership: the five doors

Single-family rental

1

Easiest to finance, easiest to sell, easiest to manage. One tenant means income is on or off — no in-between.

House hack (2-4 units)

2

Live in one unit, rent the rest. Owner-occupied financing means far less down. The fastest legitimate on-ramp.

Small multifamily (5-20)

3

Priced on NOI, not comps. You can force value by raising rents or cutting expenses. Commercial financing rules apply.

Short-term rental

4

Highest revenue per door and the highest operating burden. It is a hospitality business. Regulation risk is real.

Flip / BRRRR

5

Flips create income, not wealth, and are taxed like a job. BRRRR recycles capital into holds — that is the wealth version.

Start where the financing is cheapest

Owner-occupied money is the cheapest money you will ever be offered on real estate. If you can live in the deal for a year, do it — then move and repeat.

THE TYPES

Commercial and niche assets

Commercial property is priced on income, not on what the neighbor sold for. Raise NOI $10,000 in a 7% cap market and you created roughly $143,000 of value.

Retail & mixed use

Long leases, tenant improvements, location-dependent. Watch credit quality of the tenant.

Industrial & flex

Simple buildings, sticky tenants, strong demand. Often triple-net leases.

Self storage

Low maintenance, month-to-month pricing power, management software driven.

Mobile home parks

You own the dirt and infrastructure, tenants own the homes. Utility and permitting risk.

Medical & office

Specialized build-outs, longer leases, higher vacancy risk if the tenant leaves.

Raw land

No income, no depreciation, carrying costs only. This is speculation until you entitle it.

Rule: the more specialized the building, the smaller the pool of people who can replace your tenant.

THE TYPES

Passive lanes: owning without operating

Public REITs

Liquid, daily priced, IRA-friendly. Trades like a stock — you get the correlation that comes with that. No depreciation passthrough to you.

Any amount

Private syndications

You are a limited partner in one specific building with one specific operator. K-1, depreciation passthrough, 5-10 year lockup.

Typically $50k+

Real estate funds

One investment, many properties. Diversification and less deal-by-deal work — and less transparency into any one asset.

Typically $50k+

DSTs

Fractional interests structured to qualify as 1031 replacement property. Passive by design, illiquid by design.

Typically $25k+

Notes & private lending

You are the bank. Fixed return, secured by property, no depreciation and no upside beyond the rate.

Varies

Crowdfunding platforms

Access at lower minimums. Sponsor quality and fee layers vary widely — underwrite the sponsor, not the website.

Low minimums

Several of these are securities, and some require accredited-investor status. Nothing on this slide is an offer or a recommendation.

THE TYPES

Same asset class, four different lives

	Direct rental	Syndication / fund	Public REIT	Notes / lending
Capital to start	20-25% down + reserves	$50k typical minimum	Any amount	Varies by deal
Your time	High — ongoing	Low — read reports	None	Low — underwrite once
Control	Total	None after you wire	None	Terms only
Liquidity	Months to sell	5-10 year lockup	Same day	Until it pays off
Depreciation to you	Yes, directly	Yes, via K-1	No	No
1031 eligible	Yes	Generally no (DSTs yes)	No	No
Main risk	Vacancy, CapEx, you	Operator quality	Market volatility	Borrower default

There is no wrong column. There is only the column you can actually service for ten years.

THE TYPES

Four questions that pick your lane

1 How many hours a month — honestly?

Under 5 hours points you passive. 10-20 hours supports direct ownership with a manager. 40+ and you can operate yourself.

2 How much capital can you deploy and still sleep?

Never deploy your emergency reserve. Deal capital is money you can leave alone for five years without changing your life.

3 What is your tolerance for confrontation?

Late rent, evictions, contractor disputes. If that costs you a week of peace, hire a manager or go passive. That is self-knowledge, not weakness.

4 Do you need income now or growth later?

Income now favors stabilized, lower-leverage, cash-flowing property. Growth later tolerates thin cash flow and forced appreciation.

Write your four answers down. They become your buy box at the end of this session.

02

The Money

Finding the funding

7 MINUTES

- The capital stack
- Bank and agency debt
- Creative and relationship capital
- What lenders actually check

THE MONEY

Every deal is a stack

Whatever the deal, the money comes in layers. Lowest risk gets paid first and earns least. Highest risk gets paid last and earns most.

Common equity Yours and your partners'. Last in line, unlimited upside, first to be wiped out.	Highest risk
Preferred equity Gets a stated return before common equity sees a dollar. Common in syndications.	Higher risk
Mezzanine / second position Fills the gap between the bank and your cash. Expensive money.	Moderate risk
Senior debt The first mortgage. Paid first, secured by the property, cheapest capital on the deal.	Lowest risk

Ask this

Which layer am I in, and what has to go wrong before I stop getting paid?

Rule of thumb

The higher your promised return, the further back in line you are standing.

Most first deals are simple: senior debt plus your own equity. Everything above that is a tool for when your equity runs out before your opportunities do.

Institutional debt: the four main doors

Conventional / agency

20-25% down on investment property. Cheapest rates, strictest documentation. Underwrites you — income, credit, and debt-to-income.

FHA / VA owner-occupied

3.5% down FHA, 0% down VA, usable on 2-4 units if you live in one for a year. The cheapest legitimate entry point that exists.

DSCR / investor loans

Qualifies the property, not your paycheck. Typically wants debt service coverage of 1.20-1.25x. Higher rate, far fewer documents, no cap on doors.

Portfolio & commercial

Local bank or credit union holds the loan. Relationship driven, flexible terms — but usually a 5-10 year term with a balloon and a recourse guarantee.

The distinction that changes everything: conventional loans qualify you. DSCR loans qualify the building. That is how investors keep buying after the bank says no.

THE MONEY

Creative and relationship capital

Seller financing

The seller becomes the bank. Negotiable rate, term, and down payment. Best with free-and-clear sellers who want income, not a lump sum.

HELOC & cash-out refinance

Turn dead equity in property you already own into a down payment. This is deployed equity — but it is still debt against your house.

Private money

Individuals lending against your deal, secured by the property. Relationship-based, faster than banks, priced above banks.

Hard money

Short-term, asset-based, expensive. Built for acquisition and rehab, then refinanced out. Never a long-term hold strategy.

Partnerships & JVs

One brings capital, one brings the deal and the work. Paper it before you fund it — roles, splits, exit, and dispute terms in writing.

SDIRA & Solo 401(k)

Retirement money can own real estate. Strict rules: no self-dealing, no personal use, and leveraged property can trigger UBIT/UDFI tax.

Every one of these is still debt. Cheap money on a bad deal is still a bad deal — the financing never fixes the fundamentals.

Seven loan terms that decide the deal

Rate & whether it is fixed

Fixed protects the whole hold period. Adjustable is a bet on the future you may not want to make.

Amortization vs. term

A 25-year amortization on a 5-year term means a balloon in year five. Two different numbers — know both.

The balloon date

The most dangerous date in commercial real estate. Underwrite the refinance before you sign the original loan.

Recourse vs. non-recourse

Recourse means they can come after your other assets. Non-recourse stops at the property. Price the difference.

Personal guarantee

Who signs, and does it burn off? A guarantee follows you into every future loan application.

Prepayment penalty

Yield maintenance and defeasance can cost six figures. It quietly controls when you are allowed to sell or refinance.

Reserve requirements

Lenders may escrow taxes, insurance, and replacement reserves. That is cash out of your monthly flow.

Read the loan, not the rate sheet

Nobody has ever lost a building because the rate was 0.25% too high. People lose buildings on balloons, guarantees, and prepay terms.

What a lender is actually checking

1.20-1.25x

Debt service coverage. NOI divided by annual debt service. Below 1.20 and most lenders pass.

70-80%

Loan-to-value ceiling. Investment property usually means 20-30% of the price comes from you.

680-740+

Credit score bands. Every 20 points can move your rate and your down payment requirement.

6 months

Reserves after closing. Cash left in the bank measured in months of full payment.

1. **Get pre-approved before you shop**

   An offer without proof of funds is a wish. Sellers price certainty.

2. **Build the banking relationship early**

   Meet the local commercial lender before you need them. Deposits and history buy flexibility later.

3. **Keep two years of clean records**

   Tax returns, rent rolls, leases, and a personal financial statement — updated, not reconstructed in a panic.

4. **Shop at least three lenders**

   Bank, credit union, and a broker. The spread between the best and worst quote is real money.

03

The Deal

Evaluating the property

9 MINUTES

- Market before property
- The math ladder
- The four metrics
- Real due diligence

THE DEAL

Market first. Property second.

You can renovate a bad building. You cannot renovate a shrinking city. Screen the market before you ever look at a listing.

Job growth & employer mix

Is employment growing, and is it spread across several industries or dependent on one?

Population direction

Five-year in-migration or out-migration. Renters follow jobs, and rents follow renters.

Rent-to-price relationship

How much rent does a dollar of purchase price buy here? This drives your cash flow ceiling.

Landlord & tenant law

Eviction timelines, rent control, licensing, inspection regimes. This varies enormously by state and city.

Insurance availability & cost

In some markets premiums have doubled. Get a real quote before you write an offer, not after.

Property tax behavior

Does the assessment reset to your purchase price after closing? That single line can erase your cash flow.

Supply pipeline

How many units are under construction? New supply caps your rent growth for years.

Your ability to see it

Can you get there, or do you have boots on the ground you trust? Distance costs money.

Two that people skip until it hurts: the insurance quote and the post-sale tax reassessment. Get both in writing before you commit.

The math ladder every deal climbs

Gross scheduled income	Every unit rented, every month, at market rent. The fantasy number.
Less vacancy & credit loss	5-10% depending on market and unit type. Never zero.
= Effective gross income	What actually hits the account.
Less operating expenses	Taxes, insurance, maintenance, CapEx reserve, management, utilities, turnover, admin.
= Net operating income	The number the property is valued on. NOI never includes your mortgage.
Less debt service	Principal and interest on every loan against the property.
= Cash flow before tax	The paycheck. Then depreciation changes what you actually keep.

The three skipped rungs

Vacancy. CapEx reserve. Management. Leave them out and any property looks profitable on paper.

Self-managing is not free

Charge the property a management fee even if you keep it. Otherwise you have hidden your own wage inside the return.

NOI is the number that sets value. Cash flow is the number that sets your life.

Four metrics — and what each one hides

Cap rate

NOI ÷ purchase price

Compares properties as if all were bought with cash. Good for comparing buildings.

Hides: your financing, your capital structure, and any value-add you plan.

Cash-on-cash

Annual cash flow ÷ cash invested

What your actual dollars earn in year one. The number that pays your bills.

Hides: loan paydown, appreciation, and the tax benefit — usually understates total return.

Debt service coverage

NOI ÷ annual debt service

The lender's safety margin. Aim for 1.25x or better on anything you hold.

Hides: nothing about your return. It is a survival metric, not a profit metric.

Gross rent multiplier

Price ÷ gross annual rent

A fast screening tool for comparing similar properties in the same market.

Hides: all expenses. Useful for a first pass, useless for a decision.

Run all four. Be suspicious of any deal that only works on one of them.

THE DEAL

One deal, all the way through

Income & expenses	Annual
Gross scheduled rent (4 units × $1,250)	$60,000
Vacancy allowance (6%)	($3,600)
Effective gross income	**$56,400**
Property taxes	($5,600)
Insurance	($3,200)
Maintenance & repairs	($4,500)
CapEx reserve	($4,500)
Management (9% of EGI)	($5,076)
Utilities, leasing, admin	($4,400)
Net operating income	**$29,124**
Debt service ($315k, 6.75%, 30 yr)	($24,517)
Cash flow before tax	**$4,607**

Purchase $420,000 · 25% down · $120,000 all-in with closing costs and initial repairs

6.93%
Cap rate

3.84%
Cash-on-cash

1.19x
DSCR

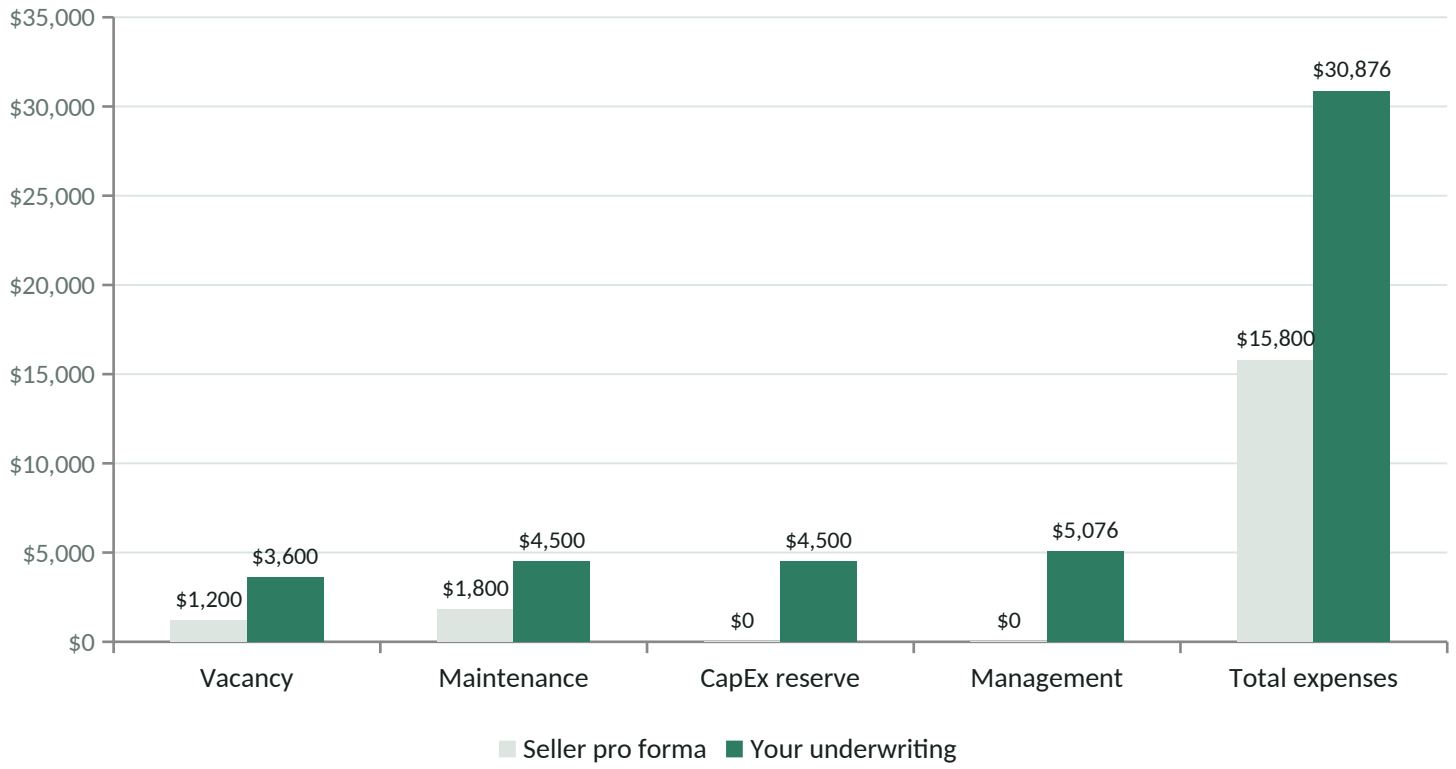
17.1%
Total return, yr 1

The honest verdict

3.84% cash-on-cash is thin, and 1.19x DSCR sits under most lenders' 1.25x floor. This deal needs a lower price, more down, or higher rents. Total return still reaches 17% because cash flow, $3,357 of loan paydown, and appreciation all run at once.

Why the seller's pro forma always looks better

Same building, two spreadsheets. The seller's version is a marketing document. Illustrative annual figures on the four-unit above.



Rebuild it from zero

Never edit their spreadsheet. Build your own from the actual tax bill, a real insurance quote, and market vacancy.

Ask for the real documents

Trailing 12 months of income and expenses, the current rent roll, all leases, and the last two tax bills.

If it only works on their numbers

Then it does not work. Walk. There is always another building.

Rules of thumb are screens, not decisions

The 1% rule

Monthly rent ≥ 1% of purchase price

A fast cash-flow screen. In many markets today almost nothing passes — that tells you about pricing, not about the rule.

The 50% rule

Operating expenses ≈ 50% of gross rent

Before debt service. Shockingly accurate across long holds once CapEx and vacancy are counted honestly.

The 70% rule (flips)

Max offer = 70% of ARV − repairs

Built to protect the flipper's margin against holding costs, financing, and surprises behind the walls.

Use these to say no in 30 seconds so you can spend three hours on the deals that deserve them. Nobody should ever buy a building because it passed a rule of thumb.

Due diligence: the list that saves you

THE BUILDING

- Full inspection plus roof, HVAC, and electrical detail
- Sewer scope on anything built before 1980
- Independent contractor bids on every repair you priced
- Environmental screen on commercial and older sites
- Survey and title commitment reviewed line by line

THE PAPER

- Trailing 12 months of actual income and expenses
- Rent roll tied to signed leases and deposits held
- Estoppel letters signed by every tenant
- Bound insurance quote before you release contingencies
- Written confirmation of post-sale tax reassessment

Sewer scope

$250 to avoid a $12,000 surprise

Estoppel letters

The tenant's version becomes your reality

Insurance quote

Premiums have doubled in some markets

Tax reassessment

Can erase your cash flow on day one

04

The Reality

Owning it after you buy it

6 MINUTES

- Capital expenditures
- Where the rent dollar goes
- Property management
- Tenant turnover

THE REALITY

The bill that always comes: capital expenditures

Every component is on a clock that started before you owned it. Illustrative costs for a small multifamily; your market will differ.

Component	Typical life	Replacement cost	Reserve per month
Roof	20-25 years	$9,000 - $16,000	$40 - $60
HVAC system	15-20 years	$6,000 - $10,000 per unit	$35 - $55
Water heater	8-12 years	$1,200 - $2,200	$12 - $20
Flooring	5-10 years	$3,000 - $7,000	$40 - $70
Appliances	8-12 years	$2,500 - $4,500	$25 - $40
Exterior paint & siding	7-12 years	$4,000 - $9,000	$40 - $70
Windows	20-30 years	$8,000 - $16,000	$30 - $50
Driveway & parking	15-25 years	$5,000 - $12,000	$25 - $40

$250 - $400

per unit, per month, set aside before you ever call it profit

Get the ages, not the condition

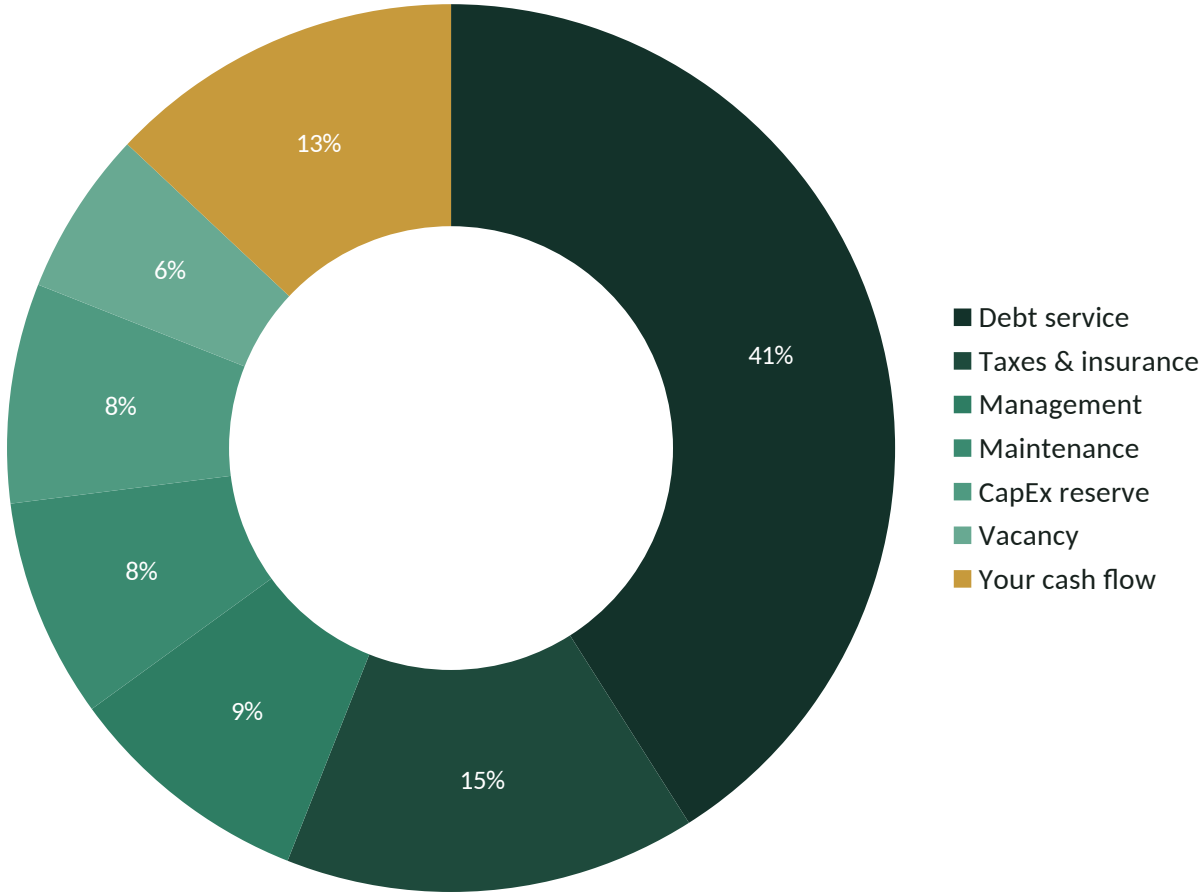
During due diligence ask the age of every major system. 'Looks fine' is not a life expectancy.

Fund it in a separate account

Reserves that sit in your operating account get spent. Move them out monthly.

THE REALITY

Where every rent dollar actually goes



13 cents

of a rent dollar is cash flow on a healthy, honestly-reserved leveraged property.

Collected is not earned

"I collect $5,000 a month" is a revenue statement. It says nothing about what you keep.

And that is a good deal

The other 87 cents still buys you paydown, depreciation, and appreciation.

THE REALITY

Self-manage or hire it out?

SELF-MANAGE

- Keeps 8-10% of collected rent in your pocket
- Direct control of screening and standards
- Realistic only when the property is close by
- You are on call for every call, including 2 a.m.
- Your legal exposure if you get fair-housing wrong

PROFESSIONAL MANAGEMENT

- Systems, vendors, and legal process already built
- Lets you own outside your own zip code
- Buys back the hours you would rather sell elsewhere
- Quality varies enormously — you must manage the manager
- The fee stack is bigger than the headline number

The real fee stack

8-10%
of collected rent, monthly

50-100%
of one month's rent to lease a unit

$150-350
renewal fee per lease

10-20%
markup on maintenance work

Model the whole stack before you sign. Eight percent is rarely eight percent.

THE REALITY

Hiring a manager: ask these, watch for those

ASK THESE SIX

- How many units do you manage, and how many per staff member?
- Walk me through your screening standard, in writing.
- What is your average days-to-lease and your current vacancy rate?
- Who does maintenance, and what is your markup?
- How and when do I get owner statements?
- What does it take to terminate, and how much notice?

WALK AWAY FROM THESE

- No written screening criteria
- Owner statements that arrive late or not at all
- Maintenance markups they will not disclose
- Long lock-in with no termination clause
- They will not give you current owner references
- Every conversation starts with a new fee

Insist on a 30-day termination clause. It is the most valuable sentence in the agreement.

THE REALITY

Tenant turnover is the silent margin killer

One turnover on a $1,250 unit, priced honestly:

$1,250 - $2,500

Lost rent

30-60 days vacant

$1,200 - $3,000

Make-ready

Paint, clean, flooring, repairs

$625 - $1,250

Leasing fee

Half to a full month's rent

$300 - $600

Carrying costs

Utilities, marketing, admin

$3,400 - $7,300

per turnover — roughly 23% to 49% of that unit's entire annual rent. Two turns in one year and the unit worked for free.

Screen harder

Verified income at 3x rent, two years of rental history called directly, credit and background to a written standard applied to every applicant.

Then keep them

Fix things fast, inspect twice a year, offer early renewals with a modest increase, and stagger lease end dates out of winter.

05

The Tax Game

Keeping more of what it makes

6 MINUTES

- Depreciation
- Cost segregation and bonus
- The passive loss problem
- The exit tax

Depreciation: the deduction you never write a check for

27.5 yrs
Residential rental property

39 yrs
Commercial property

$0
Land — never depreciable

The phantom loss, on our four-unit

Line	Amount
Net operating income	$29,124
Less mortgage interest (year 1)	($21,160)
Less depreciation ($336,000 building ÷ 27.5)	($12,218)
Taxable income (loss)	**($4,254)**
Actual cash in your pocket	**$4,607**

Positive cash. Negative income.

You collected $4,607 and reported a $4,254 loss. No check was written for depreciation — it is an accounting expense against a building that is very likely gaining value. This is the single biggest reason wealthy families own real estate.

Cost segregation and 100% bonus depreciation

What cost segregation does

An engineering study breaks the purchase price into components. Appliances, flooring, cabinetry, and fixtures become 5-year property. Landscaping, paving, and fencing become 15-year property.

What bonus depreciation does

Anything with a recovery life of 20 years or less can be deducted entirely in year one instead of spread across a decade.

What changed in the law

The One Big Beautiful Bill Act made 100% bonus depreciation permanent for qualified property acquired and placed in service after January 19, 2025. The IRS confirmed the mechanics in Notice 2026-11.

What it does NOT cover

The building shell itself. That still depreciates over 27.5 or 39 years. Only the short-life components accelerate.

Illustrative: a $750,000 rental where a study reclassifies 25% of basis into short-life property yields roughly $187,000 of first-year deduction instead of about $6,800. Whether you can use that deduction is the next slide.

The catch: you may not be able to use the loss

Rental losses are passive by default. Passive losses generally offset passive income only — not your W-2 or your business income. There are three doors out, and each has real conditions.

1

The $25,000 allowance

If you actively participate in the rental, up to $25,000 of loss may offset ordinary income — but it phases out between $100,000 and $150,000 of modified AGI and disappears above that.

2

Real estate professional status

More than 750 hours and more than half of your working time in real property trades, plus material participation. The hour tests are strict and documentation matters.

3

The short-term rental route

If average guest stays are seven days or less and you materially participate, the activity may fall outside the passive rental rules entirely.

Unused passive losses are not lost — they suspend and carry forward, and generally free up when you dispose of the property. Every one of these tests is fact-specific. This is a conversation with your CPA before you buy, not after you file.

The rest of the deductions — and the exit tax

WHAT ELSE COMES OFF

- Mortgage interest and loan points
- Property taxes and insurance premiums
- Repairs, maintenance, and supplies
- Management and leasing fees
- Legal, accounting, and software
- Travel and mileage to your properties
- Home office, if you qualify
- Possible 20% qualified business income deduction

WHAT WAITS AT THE EXIT

Up to 25%
Depreciation recapture on every dollar you deducted

0 / 15 / 20%
Long-term capital gains on the rest of the gain

3.8%
Net investment income tax, if it applies to you

Varies
State income tax on the whole thing

Every dollar of depreciation you take is a dollar of gain waiting at the exit — unless you exchange it, or hold it until it steps up.

06

The 1031

Deferral, done right

5 MINUTES

- 1031 vs. 1035
- How the exchange works
- The rules that break it
- Where 1031s go to die

THE 1031

First, let's clear up 1031 vs. 1035

These two get mixed up constantly. They share one idea — swap one asset for a like asset without triggering tax today — and nothing else.

SECTION 1031

Real property only

- Investment or business real estate
- Almost any U.S. real property is like-kind to any other
- Requires a qualified intermediary
- 45-day and 180-day clocks
- Since 2018, real property only — no equipment, no vehicles

SECTION 1035

Insurance & annuity contracts

- Life insurance, endowment, and annuity contracts
- Handled by the carriers, not a qualified intermediary
- No 45-day or 180-day clock
- Nothing to do with real estate

You cannot exchange a rental property into an annuity. You cannot exchange an annuity into a duplex. Different code sections, different assets.

How the exchange actually works

1 Hire the QI first

Before your sale closes. Not your CPA, not your attorney, not your agent from the last two years.

2 Sell the relinquished property

Proceeds go straight to the intermediary. If you touch the money, the exchange is over.

3 Identify within 45 days

In writing, signed, delivered to the QI by midnight of day 45. Calendar days. No extensions.

4 Close within 180 days

From the same start date. The two clocks run together — it is 180 days total, not 225.

5 Match value and debt

Buy equal or greater value, reinvest all equity, and replace the debt you paid off.

6 Report it on Form 8824

And do not file your return early if your 180 days run past the due date — extend instead.

Deferral is not elimination. You are moving the tax forward, not erasing it — and the basis follows you into the new property.

THE 1031

Where exchanges go to die

Touching the money

Constructive receipt kills the exchange instantly. Everything moves through the intermediary.

Missing day 45

The identification must be in writing and delivered. Verbal does not exist. The IRS does not grant extensions.

Blowing the identification rules

Three properties of any value, or any number up to 200% of what you sold, or any number if you close on 95% of what you identify.

Taking boot

Cash out, or debt on the new property that is lower than the debt you retired. That difference is taxable now.

Changing the taxpayer

Title on the replacement must match title on the property you sold. Same taxpayer, same entity.

Filing your return too early

The 180 days are cut short by your return due date. If you sell late in the year, file an extension.

An exchange is a project with a deadline, not a paperwork step at closing. Build the team before you list the property.

The landing spot — and the long game

DSTs AS A LANDING SPOT

- Structured to qualify as 1031 replacement property
- Solves the day-45 panic when nothing pencils in time
- Lets a tired landlord exit management without triggering tax
- Generally limited to accredited investors
- Illiquid by design, and you give up all control

SWAP TILL YOU DROP

Exchange into larger property. Exchange again. Under current law, heirs receive a stepped-up basis at death — the deferred gain is not inherited along with the building.

This is the part that makes it legacy instead of income.

A property bought at 32, exchanged three times, and held until death can pass to the next generation without the deferred gain following it. Rules change and this is fact-specific — but a strategy this valuable deserves to be built with your CPA and estate attorney in the room, on purpose, years before it matters.

07

The Guardrails

How people lose money

4 MINUTES

- The eight ways it goes wrong
- Your risk stack
- Your first 90 days
- Your buy box

THE GUARDRAILS

Eight ways people lose money in real estate

1. Buying on the seller's numbers instead of your own
2. No reserves, so one repair forces a bad decision
3. Overleveraging into a balloon you cannot refinance
4. Underestimating CapEx because the building looked fine
5. Buying far away with nobody you trust on the ground
6. Skipping screening to fill a unit one month faster
7. Treating gross rent as income and spending it
8. Falling in love with a building instead of the math

Six of these eight are decided before you ever close.

THE GUARDRAILS

Your risk stack

Property insurance

Adequate dwelling coverage, loss of rents, and a deductible you can actually fund tomorrow.

Entity structure

LLC per property or per group, real separation of accounts, and formalities you actually keep.

Umbrella liability

Coverage above your primary policies. Inexpensive relative to what a single judgment costs.

Liquidity

Six months of debt service per property, held outside your personal emergency fund.

Concentration

If one building is 60% of your net worth, that is not a portfolio. That is a bet.

Documentation

Written leases, written screening standards, written partnership terms. Handshakes become lawsuits.

Insurance covers the property. The entity and the umbrella cover you.

YOUR MOVE

Your first 90 days

DAYS 1-30

- Write your buy box on one page
- Pick one market and learn it deeply
- Get pre-approved with three lenders
- Open a separate reserve account

DAYS 31-60

- Interview two property managers
- Interview an investor-focused CPA
- Analyze 25 deals on paper without buying
- Build your contractor and inspector list

DAYS 61-90

- Make offers on deals that fit the box
- Underwrite from your own numbers only
- Walk away from anything that needs hope
- Fund reserves before you fund the dream

Notice what is not on this list: browsing listings. Listings are the last step, not the first one.

YOUR MOVE

Write your buy box before you leave

One page. If a deal does not fit every line, it is not your deal — no matter how good it looks.

Market	One city or submarket. Named.	**Asset type**	The specific door you chose today.
Price range	What your financing and reserves support.	**Minimum DSCR**	1.25x or better on your own numbers.
Minimum cash-on-cash	Your floor, written down in advance.	**Maximum rehab**	Dollar cap and scope you will actually take on.
Management plan	Self, or named manager, decided in advance.	**Reserve requirement**	Months of debt service funded at closing.

Bring it to the next session. We will pressure-test them together.

THE CHARGE

Buy it like a business.
Run it like a business.
Exit it on purpose.

Equity that sits still is a decision. Equity that works is a legacy. Pick one property, run the math honestly, fund the reserves, and let the tenant buy the building.

The money came. The peace took longer.

Questions — bring me your deal.